Phase III –– US−dollar investor: GCF vs the FX−adjusted FXGCF

Country	R2 (local CF)	GCF	t	R2 GCF	FXGCF	t	R2 FXGCF	N
Belgium	0.032	1.76	(1.57)	0.048	1.98	(2.58)	0.130	353
Germany	0.065	1.77	(1.59)	0.050	2.00	(2.62)	0.137	353
France	0.083	1.77	(1.61)	0.050	1.95	(2.57)	0.129	353
Italy	0.109	1.67	(1.51)	0.040	1.57	(2.01)	0.075	353
Netherlands	0.011	1.78	(1.59)	0.050	2.00	(2.62)	0.135	353
Switzerland	0.146	1.55	(1.52)	0.045	2.00	(2.97)	0.161	353
UK	0.114	1.74	(1.96)	0.071	0.99	(1.37)	0.049	353
Sweden	0.098	2.53	(1.96)	0.074	1.91	(2.13)	0.090	353
Canada	0.114	2.16	(2.83)	0.127	1.53	(2.73)	0.136	353
Japan	0.025	2.20	(1.82)	0.057	1.85	(2.80)	0.115	412
US	0.326	1.41	(4.36)	0.329	0.94	(5.39)	0.415	412

LHS: US−dollar excess return rx_USD_{i,t+12} (Eq 11). 'R2 (local CF)' repeats the dollar return on the local factor for reference; the GCF and FXGCF blocks regress rx_USD on the global (Eq 22) and the FX−adjusted global (Eq 23) factor. HAC t−stats in (.). The US row carries no currency leg. cor(GCF, FXGCF) = 0.81 in this sample, so the two factors are close substitutes.